**No. 26-2473**

**IN THE UNITED STATES COURT OF APPEALS**
**FOR THE SEVENTH CIRCUIT**

AFTERSCHOOL FOR CHILDREN AND TEENS (ACT NOW) and METROPOLITAN FAMILY SERVICES,

Plaintiffs-Appellants,

v.

UNITED STATES DEPARTMENT OF EDUCATION and LINDA MCMAHON,

Defendants-Appellees.

On Appeal from the United States District Court for the Northern District of Illinois

1:25-cv-15704; Honorable Martha M. Pacold

# APPELLANTS' REPLY BRIEF


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Defendants' Response Brief confirms, rather than answers, the flaws in the district court's ruling. The Department never actually embraces on appeal the rationale the district court ascribed to the Department's decision to sever ties with ACT Now—that it feared ACT Now might someday use grant funds for DEI-related projects—and for good reason: the Department disclaimed that rationale at the hearing and has since admitted, in a filing in a related case, that it discontinued grantees' funding not because of anything they had done or proposed to do, but because those grantees were "committed to the support of diversity, equity, and inclusion ('DEI') initiatives." Similarly, rather than answer Plaintiffs' prima facie showing on their First Amendment claims, the Department retreats to the selective-subsidy line of cases. As ACT Now has explained throughout this litigation, *Rust* and its progeny do not help the Department because those cases relate to Congress's decision on which types of activities to fund and not, as is the case here, the Executive's decision to restrict funding based on the recipients' viewpoint. Compounding all of this, the district court never weighed ACT Now's undisputed, irreparable harm. These defects in the district court's decision warrant vacatur.

## I. The Factual Premise for the District Court's Decision—that the Department Refused to Continue ACT Now's Funding Because of a Risk of Future DEI Programming—Is Refuted by the Record.

Appellants' Opening Brief sets forth undisputed record evidence showing that the Department's decision to discontinue ACT Now's grant funding was based on certain "DEI-related" language in ACT Now's original grant applications. (Br. 9–12, 20–23.) The Department's Notices of Non-Continuation themselves make this plain: rather than identify anything ACT Now actually did or proposed to do with grant funds, the Department quoted isolated excerpts from ACT Now's applications describing ACT Now's equity-centric mission statement, its description of professional-development trainings it had hosted in the past, and the statutorily-mandated discussion of barriers to equitable access. (*Id.* 9–10 (citing Dkt. 3-7 at 2, 5–6).) It then asserted, without further explanation, that these snippets reflected "proposed project activities that conflict with the Department's policy."[1] (*Id.*) In its order, the district court relied on five isolated statements taken from ACT Now's 200-plus page application, none of which describes any proposed DEI-related project: four describe past trainings ACT Now conducted or has access to without federal funds, and the fifth truncates a general statement of ACT Now's mission.[2] (*Id.* 20–21 (citing Dkt. 62 at 2; Dkt. 3-4 at 40, 53, 63, 144).)

The testimonial record further confirms this. At the preliminary injunction hearing, five witnesses offered testimony that ACT Now never conducted, proposed to conduct, or had any plan to

[1]This is consistent with the Department's February 2025 Directive prioritizing viewpoint-driven review of "organizations that support diversity, equity, and inclusion . . ." (Dkt. 49-22 at 2.) Last week, a district court granted summary judgment to plaintiffs challenging that Directive, vacating it and declaring it substantively unlawful under the APA. *California, et al. v. Dep't of Ed., et al.*, No. 25-CV-10548, Mem. and Order, ECF No. 176 (D. Mass. Sept. 17, 2026).

[2]That truncated mission statement—"[E]quity is intentionally and sustainably integrated into all that we do[.]"—was the district court's only record cite with regard to ACT Now's rural grant. (Br. 21 (citing Dkt. 62 at 2).)

conduct any of the "activities" the Department flagged—testimony the district court itself acknowledged was not controverted by anything in the record. (*Id.* 21–22 (citing PI Hr'g Tr. at 19:19–20:2, 20:13–18, 26:22–27:9, 21:3–8, 27:10–17, 21:16–21, 27:18–25, 22:11–16, 23:4–9, 28:1–10, 23:23–24:3, 28:23; Dkt. 62 at 14 ("The record contains nothing to cast doubt on the veracity of th[e] claim" that Plaintiffs "have not used funds for such [DEI] activities.").) As ACT Now's Executive Director testified, the application language the Department seized on was nothing more than the kind of statements the grant-authorizing statute and General Education Provisions Act (GEPA) require applicants to make and not a proposal to provide any particular program activities. (Br. 22 (quoting PI Hr'g Tr. at 29:22–30:15).)

The Department has not disputed these facts in the district court or on appeal. In the district court, the Department never argued that its decision was based on a concern over future grant-funded programming, and counsel for the Department flatly rejected the district court's proffered rationale at the preliminary injunction hearing. When the court asked defense counsel whether the excerpts from the grant application mean that "funds will be used or are, at least there's a pretty reasonable likelihood[,] depending on the individual needs assessment process of each district" could be used for DEI programming (PI Hr'g Tr. at 129:6–10), counsel replied, "No, Your Honor," and agreed with ACT Now that the statements the Department relied upon in discontinuing funding of Plaintiffs' grants "articulat[ed] priorities for equitable access in identifying programs that would be responsive to that, relevant to that under GEPA, and those include the projects that ultimately plaintiffs did not fund, but stated that were consistent with those grant capabilities." (*Id.* 129:11, 129:15–22.)

The Department's position on appeal is no different. In the Response Brief, the Department does not address any of this evidence, let alone cite any contrary evidence, in arguing that the district court "made no clear error in its factfinding" when it concluded that the Department's decision to

discontinue the grants was based on its concern that ACT Now might use grant funds for future DEI-focused projects. (Resp. Br. 1; *see also id.* at 22–27.) Indeed, in defending the district court's decision, the Department still does not adopt or endorse the district court's finding as its own position. (*See, e.g.*, Resp. Br. at 14 (arguing only that the court's finding is "a permissible inference").)

The reason for the Department's silence, at every stage, is now clear. After the district court issued its ruling in this matter, the Department filed a memorandum in a related case that confirms the district court's error. In *Brighton Park Neighborhood Council v. McMahon*, seven plaintiffs (including one Illinois-based organization that receives its FSCS funding from ACT Now) sued the Department after receiving materially identical notices of non-continuation of their FSCS grant funding based on DEI-related language in their applications, including the two notices at issue here. *Brighton Park Neighborhood Council, et al. v. McMahon, et al.*, No. 1:25-cv-04523-SLS, Am. Compl., ECF No. 27, at ¶¶ 11–17, 61–63 (D.D.C. Feb. 27, 2026). In its memorandum opposing summary judgment, the Department admitted what the record here establishes: it targeted grantee organizations because they expressed support for DEI and not because they used, or proposed to use, grant funds to provide DEI programming. The Department told the court that it "fails to see what other alternatives, besides discontinuing grants awarded to entities committed to the support of diversity, equity, and inclusion ('DEI') initiatives deemed unlawful by the new presidential administration, were available to it." *Id.*, Def's Mem. ISO Def.'s Partial Motion to Dismiss and Cross-Motion for Summ. J., ECF No. 46 (D.D.C. Sept. 2, 2026) (emphasis added). In other words, the Department chose to discontinue grants based not on what grantees had done or proposed to do but because those organizations were "committed to the support of [DEI]."

The district court's inference cannot stand. There is no evidence in the record supporting the

district court's assumption that the Department discontinued ACT Now's funding out of concern that ACT Now might begin providing DEI-related programming at some point in the future. Defendants offered no such evidence, and the evidence Plaintiffs provided refutes it. *Argyropoulos v. City of Alton*, 539 F.3d 724, 732 (7th Cir. 2008) (what constitutes "reasonable inferences" does not "extend to drawing inferences that are supported by only speculation or conjecture" (citations omitted)). The Department had a full opportunity during the four-hour preliminary injunction hearing to explain its reasoning, yet offered no witness and no testimony on the point. And now we know why: the Department has since admitted, in *Brighton Park*, that the true reason it decided to discontinue funding was to target entities that support DEI initiatives, not the prospective programming rationale inferred by the district court.

For all of these reasons, the district court clearly erred in finding that the Department declined to continue ACT Now's funding because of a risk of future DEI-related programming.

## II. Plaintiffs Are Likely to Succeed on their First Amendment Claims.

The Department largely concedes Plaintiffs' prima facie case for both of the First Amendment claims. (Resp. Br. 15–20.) On retaliation, the Department does not contest that Plaintiffs engaged in protected First Amendment speech when they made statements in their grant applications, or that any reasonable grant applicant would be deterred from making similar statements on threat of non-continuation. (*Id.* at 15–16.) On unconstitutional conditions, it gives no answer to the actual chill Plaintiffs faced on their speech: denial of funding even after they offered to submit revised applications omitting the language the Department disfavors. (*Id.* at 19–20.) Defendants merely assert without argument or record support that Plaintiffs' arguments conflict with the district court's (erroneous) factfinding,[3] begging the question at the crux of this appeal. (*Id.* at 27–28.) Rather than engage with this analysis, the Department switches focus to the selective-subsidy line of cases. But the line drawn by those cases between permissible and impermissible funding decisions only underscores the likelihood of ACT Now's success. Rust and its progeny explain that Congress can decide which activities to subsidize, but it cannot use its authority to make funding decisions as a pretense to regulate a recipient's viewpoint. *Rust v. Sullivan*, 500 U.S. 173, 193, 197 (1991). As the Supreme Court has explained, "the relevant distinction that has emerged from our cases is between conditions that define the limits of the government spending program—those that specify the activities Congress wants to subsidize—and conditions that seek

[3]Defendants attempt to collapse Plaintiffs' affirmative arguments into a factual dispute subject to clear-error review. (Resp. Br. 22–28.) But the district court did not err only in the facts; it erred in failing to apply the relevant constitutional law at all. (Br. 13–14 (describing how the court's "false premise" regarding "DEI-related projects" led it to apply the selective-subsidy cases and reach the wrong conclusion.).) The district court never mentioned in its memorandum denying ACT Now's preliminary injunction, let alone analyzed, ACT Now's likelihood of success under the three-part test that governs retaliation claims: *Nieves v. Bartlett*, 587 U.S. 391 (2019) and *FKFJ, Inc. v. Village of Worth*, 11 F.4th 574 (7th Cir. 2021) do not appear in its opinion. That is an error of law that requires reversal.

to leverage funding to regulate speech outside the contours of the program itself." *Agency for Int'l Dev. v. Alliance for Open Soc'y Int'l, Inc.*, 570 U.S. 205, 214–15 (2013).

### A. The Selective-Subsidy Cases Do Not Condone the Department's Actions Because the Department Is Enforcing Its Own Policy, Not a Funding Condition Congress Imposed.

Defendants repeat the sleight-of-hand that led the district court to err. They assert that *Rust* and other selective-subsidy cases broadly permit "the government" to make selective funding decisions about "programmatic activities," and that the non-continuations thus "rest[] squarely within the Department's authority to define and update programmatic priorities." (Resp. Br. 17–18; *compare with* Br. 23–25.) But those cases turn on Congress's authority—not the Department's—to make value judgments via its Spending Power, as Defendants appear to concede.[4] (*See* Br. 23 n.4 (collecting cases).) And they make plain that neither Congress nor the Department may use federal funds to penalize expression made without those funds. (Br. 23–24 (discussing *Agency for Int'l Dev. v. All. for Open Soc'y Int'l.*, 570 U.S. 205 (2013)).)

### B. Even if the Department Was Enforcing a Funding Condition Imposed by Congress, Such a Funding Condition Is Viewpoint Discrimination Prohibited Under the Selective-Subsidy Cases.

*[Transcription note: the text of Point II.B is not transcribed here.]*

[4]Resp. Br. 16 ("In Rust, . . . [t]he Supreme Court upheld the implementing regulations because they reflected Congress's prerogative to define the program's contours….") (emphasis added); *id.* at 17 (quoting *Finley*, 524 U.S. at 587–88) ("So long as legislation does not infringe on other constitutionally protected rights, Congress has wide latitude to set spending priorities.") (emphasized added); *id.* at 20 ("The Supreme Court [in Rust] upheld the regulations as valid interpretations of statutory authority…") (emphasis added); *id* at 21 ("In [Finley], the National Endowment for the Arts was directed by Congress to consider 'general standards of decency and respect' in issuing grants. . . . [T]he Supreme Court held [that] the agency could constitutionally exercise 'substantial discretion' in applying those broad statutory criteria.") (emphasis added)).

### C. Plaintiffs Did Not Waive Their Argument.

*[Transcription note: the text of Point II.C is not transcribed here.]*

## III. The Court Erred in Failing to Make any Findings of Irreparable Harm.

*[Transcription note: the text of Point III is not transcribed here.]*

## IV. Conclusion

For the reasons set forth above and in their Opening Brief, Plaintiffs respectfully request that this court vacate the denial of preliminary relief, remand for further proceedings, and provide any other relief this Court deems appropriate.

Respectfully submitted,

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September 24, 2026

## CERTIFICATE OF COMPLIANCE

I certify that this brief complies with the type-volume limit of Fed. R. App. P. 32(a)(7)(B), as modified by Cir. R. 32(c). Excluding the parts of the brief exempted by Fed. R. App. P. 32(f), this brief contains 1,682 words.

I further certify that this brief complies with the typeface requirements of Fed. R. App. P. 32(a)(5) and the type-style requirements of Fed. R. App. P. 32(a)(6), as modified by Cir. R. 32(b). This brief has been prepared in a proportionally spaced typeface using LaTeX in Liberation Serif 12-point font for the body text and 11-point font for the footnotes.

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| s/ Scott C. Solberg | September 24, 2026 |
| Signature | Date |

## CERTIFICATE OF SERVICE

I hereby certify that on September 24, 2026, I electronically filed the foregoing with the Clerk of the Court for the United States Court of Appeals for the Seventh Circuit by using the CM/ECF system, which will send notice of such filing to all registered CM/ECF users.
Pursuant to Circuit Rule 31(b), upon notice of this Court's acceptance of the electronic brief for filing, I certify that I will cause [Str "10"] copies of the above-named brief to be delivered to the Clerk of the Court.

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|---|---|
| s/ Scott C. Solberg | September 24, 2026 |
| Signature | Date |